

Policy on dealing with Related Party Transactions

Avance Technologies Limited
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1. PREAMBLE

The Board of Directors ("Board") of Avance Technologies Limited ("Company") recognizes that transactions with related parties may give rise to potential or actual conflicts of interest and may pose risks of misuse of corporate resources if not regulated appropriately.

In order to ensure that such transactions are conducted in a manner that upholds the highest standards of corporate governance, transparency, accountability, and fairness, the Company has formulated this Policy on Related Party Transactions ("Policy").

This Policy aims to ensure that all Related Party Transactions ("RPTs") are undertaken in compliance with applicable laws and are in the best interests of the Company and its stakeholders, particularly minority shareholders.

2. REGULATORY FRAMEWORK

This Policy is framed in accordance with:

- The provisions of the Companies Act, 2013 and rules made thereunder, including Section 188 and Section 177
- The SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 ("SEBI LODR"), including all amendments made from time to time up to the year 2025
- SEBI Circulars and Master Circulars relating to Related Party Transactions
- Applicable Indian Accounting Standards (Ind AS 24 – Related Party Disclosures)
- Any other statutory enactments, rules, or regulations as may be applicable

In the event of any inconsistency between this Policy and the applicable laws, the provisions of law shall prevail.

3. OBJECTIVE OF THE POLICY

The primary objectives of this Policy are:

- To regulate transactions between the Company and its related parties
- To ensure that such transactions are conducted at arm's length and in the ordinary course of business
- To lay down a robust framework for approval, review, and disclosure of RPTs
- To prevent conflicts of interest and protect the interests of minority shareholders
- To ensure compliance with all applicable legal and regulatory requirements

4. APPLICABILITY

This Policy shall apply to:

- The Company
 - Its subsidiaries, whether listed or unlisted
 - Directors and their relatives
 - Key Managerial Personnel ("KMP") and their relatives
 - Promoter and Promoter Group
 - Any other person or entity classified as a related party under applicable laws
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5. DEFINITIONS

5.1 Related Party

A "Related Party" shall have the meaning ascribed to it under:

- Section 2(76) of the Companies Act, 2013
- Regulation 2(1)(zb) of SEBI LODR
- Applicable accounting standards

This includes, inter alia:

- Directors and their relatives
 - Key Managerial Personnel and their relatives
 - Entities forming part of promoter or promoter group
 - Entities in which directors or KMP have significant influence
 - Any person or entity holding equity shares of 10% or more in the Company
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5.2 Related Party Transaction (RPT)

A Related Party Transaction means:

A transaction involving a transfer of resources, services, or obligations between:

- The Company or its subsidiaries; and
- A related party

Irrespective of whether a price is charged or not.

Further, in line with SEBI amendments, RPT shall also include:

- Transactions where the related party is not a direct party but derives a benefit
- Transactions undertaken with the purpose and effect of benefiting a related party

- A single transaction or a group of transactions forming part of a contract or arrangement
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5.3 Material Related Party Transaction

A transaction with a related party shall be considered material if:

- The transaction(s), individually or taken together with previous transactions during a financial year, exceed ₹1,000 crore or 10% of the annual consolidated turnover of the Company, whichever is lower

In case of transactions involving payment towards brand usage or royalty, materiality shall be determined if such payments exceed 5% of the annual consolidated turnover.

5.4 Material Modification

A modification to an approved Related Party Transaction shall be considered material if:

- There is a significant change in the value, scope, duration, or pricing of the transaction; or
- The modification alters the fundamental nature or commercial terms of the transaction

Thresholds for determining materiality shall be approved by the Audit Committee.

5.5 Arm's Length Transaction

An arm's length transaction means a transaction conducted between two unrelated parties, as if they were unrelated, ensuring that there is no conflict of interest.

6. IDENTIFICATION OF RELATED PARTIES AND RPTs

The Company shall establish appropriate systems and processes to:

- Maintain an updated database of related parties
- Obtain periodic disclosures from Directors and KMP
- Identify all direct and indirect RPTs
- Track transactions where a related party may derive benefit, even if not directly involved

7. APPROVAL MECHANISM

7.1 Approval by Audit Committee

All Related Party Transactions shall require prior approval of the Audit Committee.

The Audit Committee shall:

- Evaluate the nature, terms, and purpose of the transaction
- Assess whether the transaction is in the ordinary course of business
- Determine whether the transaction is at arm's length
- Consider the impact on the Company and minority shareholders

Only those members of the Audit Committee who are Independent Directors shall approve Related Party Transactions, where required under law.

7.2 Omnibus Approval

The Audit Committee may grant omnibus approval for repetitive transactions subject to:

- Specification of related party
- Nature and duration of the transaction
- Maximum value of transactions
- Justification and business need

Such omnibus approval shall be valid for a period not exceeding one year and shall be reviewed periodically.

7.3 Approval by Board of Directors

In cases where:

- The transaction is not in the ordinary course of business; or
- The transaction is not at arm's length; or
- Approval is required under the Companies Act

the same shall be placed before the Board for approval.



7.4 Approval by Shareholders

All material Related Party Transactions and material modifications shall require prior approval of shareholders.

No related party shall vote to approve such resolutions, irrespective of whether such party is directly involved in the transaction.

8. RELATED PARTY TRANSACTIONS OF SUBSIDIARIES

Prior approval of the Audit Committee shall be required for:

- Transactions entered into by subsidiaries where the Company is not a party

If such transactions exceed:

- 10% of the consolidated turnover of the Company; or
- 10% of the standalone turnover of the subsidiary

the same shall be subject to approval requirements as applicable.

9. INFORMATION REQUIREMENTS FOR APPROVAL

Every proposal for approval of an RPT shall be accompanied by detailed information, including:

- Name of the related party
- Nature and duration of the transaction
- Monetary value and terms
- Pricing methodology and benchmarking
- Business purpose and justification
- Whether the transaction is at arm's length
- Extent of benefit to related party
- Any other relevant information required by the Audit Committee

10. DISCLOSURE REQUIREMENTS

The Company shall ensure compliance with all disclosure requirements, including:

10.1 Stock Exchange Disclosures

Submission of half-yearly disclosures of RPTs in prescribed format.



10.2 Annual Report Disclosures

Disclosure of contracts or arrangements with related parties in the Board's Report.

10.3 Website Disclosure

This Policy shall be hosted on the Company's website and shall be accessible to stakeholders.

11. EXEMPTIONS

The provisions of this Policy shall not apply to:

- Transactions between two government companies
- Transactions between a holding company and its wholly owned subsidiary
- Transactions between wholly owned subsidiaries

subject to compliance with applicable laws.

12. MONITORING AND REVIEW

The Audit Committee shall:

- Review all Related Party Transactions on a quarterly basis
 - Review long-term or continuing transactions at least annually
 - Ensure that the Policy is updated in line with regulatory changes
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13. NON-COMPLIANT TRANSACTIONS

In the event of a Related Party Transaction entered into without prior approval:

- The same shall be placed before the Audit Committee for ratification
 - If not ratified, the transaction may be declared voidable
 - Appropriate disciplinary action may be initiated
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14. ROLES AND RESPONSIBILITIES

- **Audit Committee:** Approval and oversight
- **Board of Directors:** Strategic supervision
- **Company Secretary:** Regulatory compliance and disclosures
- **Chief Financial Officer:** Financial evaluation and validation

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15. INTERPRETATION

Any questions regarding interpretation shall be referred to the Audit Committee, whose decision shall be final.

16. AMENDMENT

The Board reserves the right to amend this Policy from time to time in line with regulatory requirements.

Note: *This Policy shall be subject to periodic review by the Board of Directors and shall be deemed to be amended in accordance with any changes in the applicable provisions of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 and other statutory requirements. In the event of any inconsistency between this Policy and applicable laws, the provisions of such laws shall prevail.*